Report to The Portland Public Schools Board of Directors

Date: January 28, 2026

From: Bond Accountability Committee

Subject: BAC Report #50

Committee Charge

The Portland Public Schools Board of Education (Board) has appointed a citizen Bond Accountability Committee ("Committee") whose charge is to monitor the planning and progress of the bond programs relative to voter-approved work scope, schedule, and budget objectives.

The duties of the Committee are (i) to receive reports on the status and planned implementation of the bond program; (ii) to determine whether such status and implementation are consistent with the program approved by the voters; and (iii) to report their findings to the Board.

The current members of the BAC are:
Greg DiLoreto, Chair
Norman Dowty
Chris Dunning
Travis George
Ryan Kinsella
Jonathan Truit
Cara Turano
BOE Director Splitt, the BAC Liaison

Background:

In November 2012, voters approved a $482M capital improvement bond measure for Portland Public Schools. In May 2017, voters approved a $790M capital improvement bond measure. In November 2020, voters approved a $1.206B capital improvement bond measure and in May 2025, voters approved a $1.8B capital improvement bond measure.

All regular BAC meetings are publicly noticed and open to the public. Staff presentation materials, along with BAC reports are regularly posted on the District website. Meetings are also video recorded, which allows BAC members unable to attend scheduled meetings to watch the proceedings and review the materials at their convenience.

The BAC meeting was held on January 28, 2026, at Jefferson High School. The BAC has a practice of alternating its meetings between in person and Zoom. In person meetings have rotated among the various schools that have seen modernization or will see modernization. Six members participated in the meeting, Greg DiLoreto, Travis George, Jonathan Truit, Norm Dowty, Ryan Kinsella, Chris Dunning and our BOE liaison Director Splitt. **The meeting focused on three main areas: overall financial position; update on school modernization efforts at Jefferson High School, Cleveland High School and Ida B. Wells High School; and a presentation on possible changes to the BAC Charter.**

The BAC received public comment from four individuals. One concerned the renaming of the Center for Black Student Excellence; two comments concerning the need for the BAC to be involved in the decision of where to spend funds for seismic improvement and one concerning the recent restructuring in the Office of School Modernization and the effect on the workload since several people were let go from the program.

Report

1. Whether the school district bond revenues are expended only for the purposes for which the bonds were approved, and that bond revenues are not used for any purpose prohibited by law.

- The BAC reviewed the Bond Program Administration report and additional reports specific to bond revenues and expenditures. A bond sale is planned for February 10th, with debt service not to exceed ballot authorization. **Of note is that Moody's bond rating agency has downgraded the District's credit rating from Aa2 to Aa3. The District maintained its AA- rating from Standard & Poor's. The downgrading from Moody's reflects the Districts low operational fund balance at only 5% of total balances, which compares to over 14% in 2022 and 2023. Also influencing the bond rating is the local economy and student enrollment, which is decreasing. This downgrade could have some effect, perhaps small, on the interest rate the District will pay for its cost of borrowing.**
- Staff has nearly completed reconciling accounts and based on these reports bond funds from the 2012, 2017 and 2020 bond program accurately funded all items identified within those programs. **Based on these reports the BAC believes the programs to have been properly funded; it appears that the school district is spending revenues only for the purposes for which the bonds were approved. For the 2025 bond measure, almost no funds to date have been expended.**

2. Whether the bond budget is sufficient to complete the scope of work as outlined in the voter-approved bonds.

- **As presented to the BAC there are sufficient funds to complete the scope of work as outlined in the voter approved bonds.**
- **A total of $4.6 billion in bonds have been approved by the voters in 2012, 2017, 2020 and 2025 combined. To date $2.0 billion have been spent, outstanding encumbrances are $167.7 million and $2.4 billion in bond funds remain, the majority of which is in the 2025 bond.** All that remains from the 2012 bond issue is $403,500 out of the $547.8 million. Nearly $60 million remain from the 2017 bond measure out of the total
- $888.5 million, and $551.7 million remain from the $1.3 billion in the 2020 bond. As noted previously almost no funds have been spent from the 2025 bond.
- Cleveland high school is currently budgeted at $449 million, up from the original budget of $442 million. However, the value engineering process is underway to reduce costs below the budget. Jefferson high school, funded from both the 2020 bond and 2025 bond measure is currently budgeted at $466 million and Wells High School is currently budgeted at $432 million and at the 50% design drawings was on track with the current budget. The BAC did not learn of anything in the staff report that suggests these budgets are not sufficient. **A risk to these budgets could come from permit delays, which would impact start of construction, however the City of Portland has committed to a 16-week review/approval process. An additional risk is the availability of mass timber. To mitigate this risk, supply has been diversified since all projects are on the same timelines so the District is not completing with itself for production.**

3. Whether the projects planned, in progress, and completed will meet the scope of work specified in the voter-approved bonds.

- **The projects discussed at the BAC meeting will meet the scope of the work specified in the voter-approved bonds. Cleveland, Jefferson and Wells will be completely new high schools meeting the District's education design standard.**

4. Whether the projects are being delivered on schedule relative to the voter-approved bonds.

- **Cleveland and Wells high schools are shown to being delivered on schedule relative to the voter-approved bonds. Jefferson is behind the original schedule shown in the 2020 bonds requiring additional funds in the 2025 bond measure. Jefferson is now shown to be tracking correctly with the revised schedule.**
- Cleveland high school is at 70% design plans. Construction activities will start in late June 2026. The project is currently under design and securing permit approval from the City of Portland. The schedule shows move into the new building prior to the start of school 2029.
- Jefferson high school is also at 70% design plans. Groundbreaking is tentatively scheduled for May 29, 2026. As with Cleveland high school construction will begin this summer, first with the south fields construction. New building construction begins in 2027. Move in will be prior to the start of school 2029. Currently the project is in the design, land use and permitting phase.
- Wells high school is slightly behind Cleveland and Jefferson high schools. Construction document phase will begin in March with construction slated to begin in December 2026. However, move in is scheduled prior to the start of school 2029.
- Center for Educational Excellence, renamed from the Center for Black Student Excellence to reflect its larger mission is moving forward with the purchase of the property at 1 North. Staff is working with PPS procurement in solicitation of 3rd party services such as geotechnical civil and structural engineering. A complete schedule was not provided to the BAC.

5. The Committee will receive and review copies of annual performance audit reports and financial audit reports to ensure Bond revenues are expended in compliance with state law and the ballot measure language.

- **District staff is diligent in ensuring all bond revenues be in compliance with state law and the ballot measure language and the BAC has seen no evidence of operating outside of this compliance.**

Additionally, the Committee may provide feedback and/or advice to the Board on one or more of the following topics:

- *Alignment with the goals and principles of the Long-Range Facilities Plan;*
- *Alignment with the goals of the Business Equity Policy;*

- *District standards and innovative practices for achieving lower maintenance and construction costs while improving operating efficiency, sustainability, and increasing building longevity;*
- *Historic preservation and school renovation opportunities compatible with the architecture of surrounding Portland neighborhoods;*
- *Potential capital partnerships for joint and shared use of PPS facilities;*
- *Implementation of appropriate ways to address seismic issues;*
- *Topics and scope for the annual performance audit work plan;*
- *Compliance with ADA; and*
- *Communicating key information related to the bonds to the School Board, public groups, organizations and stakeholders.*

- **A certified business equity update was provided.**
    - Jefferson high school – currently 12.12% was paid to certified subcontractors broken down at 12.77% for consultants, 5.45% for subcontractors, with 23 of 44 certified subcontractors. 17 of the 16 required Career Learning activities have taken place.
    - Cleveland high school – currently 33.11% has been paid to certified firms and 16 of the 32 subcontractors are certified. None of the required Career Learning activities have taken place. However, a meeting has been scheduled to get started on this activity.
    - Wells high school – 16.11% has been paid to certified firms and 16 of the 31 subcontractors are certified. Additionally, 37 of the required 8 Career Learning activities have taken place.
- The Committee received a presentation regarding its charter from Janise Hansen of PPS. Since the Committee just received the information only a couple of days before its meeting only general discussion occurred. The Committee has a copy of the presentation as well as a draft revised charter. A special meeting is being scheduled for February to discuss the proposed revisions.

General Comments

In conclusion, we commend PPS with what they have accomplished as the number of projects is numerous and complex. Projects are generally coming in on time and within budget and scope. Procedeo, the newly retained project management firm, has revised their reports to the BAC to reflect our comments from the previous meeting and these reports meet the requirements the BAC needs to report to the BOE. We continue to appreciate the quality and professionalism of OSM staff, particularly as they work through the change in leadership. We thank the Board for this opportunity to serve and play a small part in your bond programs.